

Japan Strategy Flash: 1Q3/27 earnings preview – FX and AI tailwinds meet a high consensus bar

- 1Q3/27 earnings releases by companies with a March fiscal year-end are set to move into full swing. The peak days for scheduled announcements are July 29–31 (Wednesday–Friday) and August 3–7 (Monday–Friday), with 38% and 50% (market cap basis) of TOPIX companies with a February/March fiscal year-end due to report during the initial and latter periods, respectively.
- Excluding Softbank Group (given its volatile earnings), I/B/E/S consensus estimates for TOPIX companies with a February/March fiscal year-end call for double-digit (%) increase in both 1Q recurring profits (+22% yoy) and net profits (+26% yoy). Consensus also expects positive profit growth over the next 4 quarters with an average quarterly yoy recurring profit growth of 18% ([Exhibit 6](#)).
- AI-related stocks have contributed to almost half of TOPIX EPS change YTD ([Exhibit 5](#)). Given the heightened expectation entering into the earnings season, price reactions will likely be negative if these related companies fail to deliver large positive surprises.
- Average USDJPY has risen from 144 in FY25 Q1 to 159 in FY26 Q1 ([Exhibit 8](#)). Our FX strategists see further weakening of the Yen ([link](#)) and expect the USDJPY to reach 165 in 12M. Our sensitivity analysis indicates for every ¥10 increase (decrease) in USDJPY, TOPIX EPS increases (decreases) by 3.5%. The median/average of corporates' initial assumptions for FY26 are 151/152 respectively ([Exhibit 9](#)).
- The earnings revision index continues to trend in positive territory. Over the past three months, sectors with large upward revisions to net profits have included semis & SPE, financials, construction, and machinery. In contrast, sectors with significant downward revisions to earnings have included pharmaceuticals, autos & auto-parts, and other materials.

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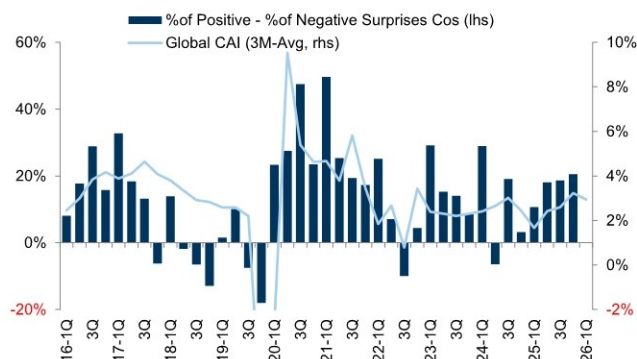
Exhibit 1: Consensus calls for TOPIX (ex-Softbank Group) NP to increase by 26% yoy in 1Q
TOPIX companies with Feb/Mar fiscal year-end, yoy growth (%)

YoY %	Prev. 4Q FY3/26			1Q FY3/27 Consensus			FY3/27 Full-Year Consensus		
	Sales	RP	NP	Sales	RP	NP	Sales	RP	NP
Topix stocks	5	30	34	7	18	25	6	13	17
Topix (ex-Financials)	5	19	25	7	19	29	7	15	18
Manufacturers	7	5	11	9	43	39	8	41	53
Nonmanufacturers	3	34	36	4	-5	15	6	-9	-13
Financials	-	118	106	-	15	13	1	4	11
Topix stocks (ex-SoftbankGr)	5	18	35	7	22	26	6	20	27
Nonmanufacturers (ex-SoftbankGr)	3	5	39	4	3	17	6	6	7

Source: I/B/E/S, Toyo Keizai, FactSet, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: We expect positive surprises to outweigh negative surprises in 1Q

TOPIX companies with Feb/Mar fiscal year-end



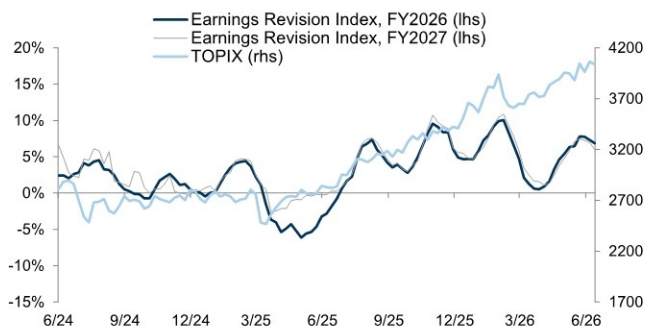
Source: I/B/E/S, Toyo Keizai, FactSet, Goldman Sachs Global Investment Research

Exhibit 3: Earnings growth has contributed 68% of TOPIX return YTD



Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: Earnings revision index remains positive

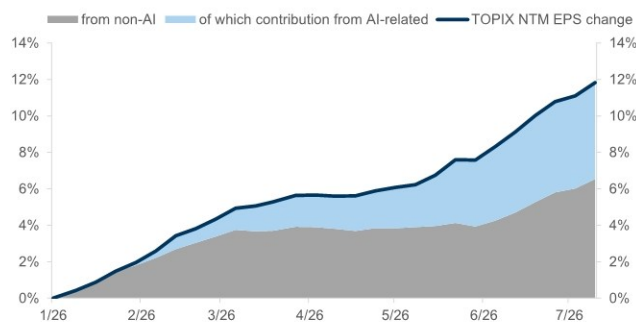


Earnings forecast revision index = (no. of analyst upward revisions for past 1 mo. - no. of downward revisions) / Total no. of forecasts.

Source: I/B/E/S, FactSet

Exhibit 5: AI-related stocks have contributed almost half of EPS change YTD

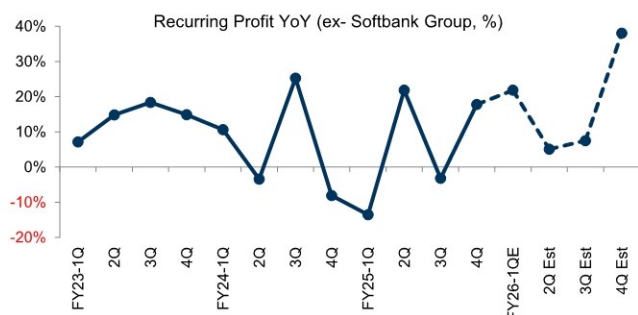
Breakdown of TOPIX NTM EPS change



Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: Consensus expects average yoy recurring profit growth of 18% over the next 4 quarters

TOPIX companies with Feb/Mar fiscal year-end (excluding Softbank Group), %

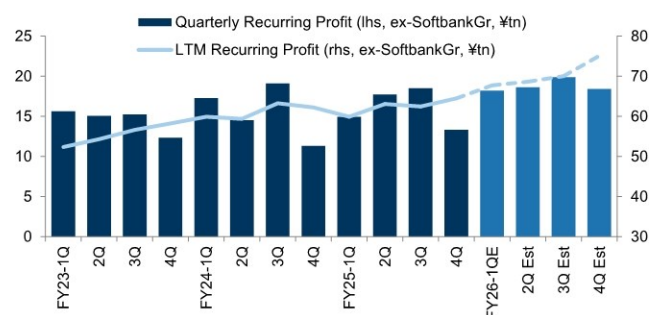


Estimates are I/B/E/S consensus

Source: I/B/E/S, Toyo Keizai, FactSet

Exhibit 7: Quarterly recurring profits

TOPIX companies with Feb/Mar fiscal year-end (excluding Softbank Group), ¥ tn



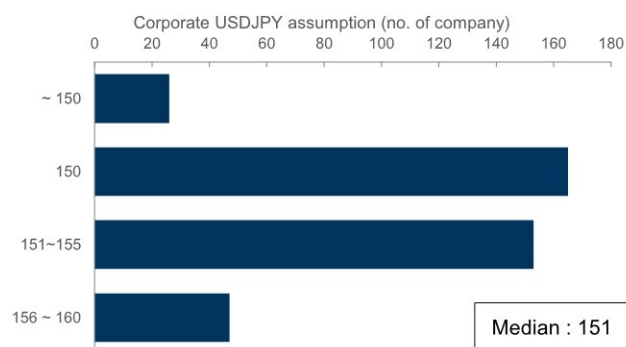
Source: I/B/E/S, Toyo Keizai, FactSet

Exhibit 8: USDJPY has risen from 144 in FY25 Q1 to 159 in FY26 Q1, our FX strategists expect further weakening to 165 in 12M

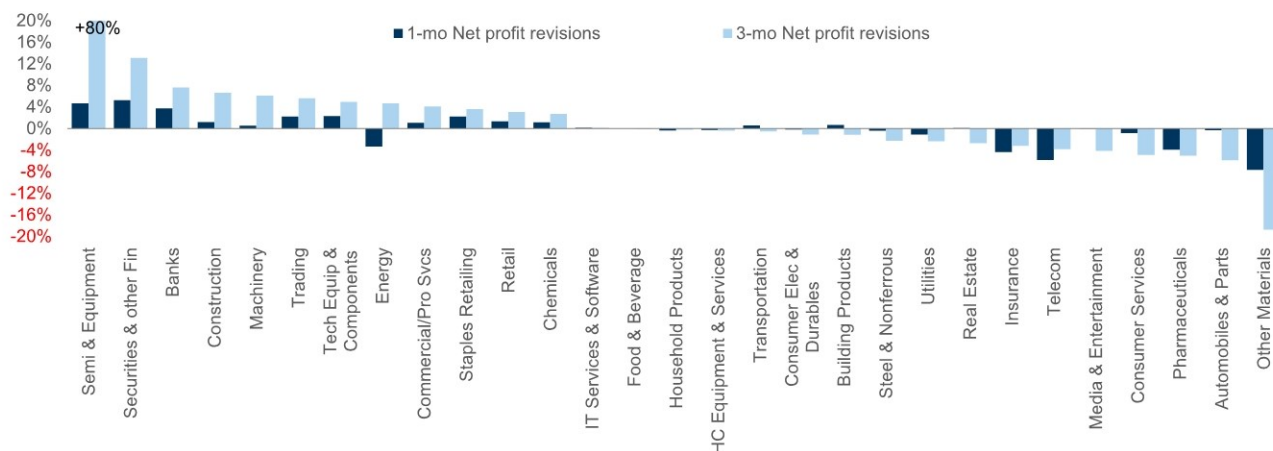

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 9: Initial median/average corporate USDJPY assumptions for FY26 are 151.0/152.3

Companies with Feb/Mar FY-end



Source: QUICK

Exhibit 10: FY26 net profit revisions by sector


Source: I/B/E/S, FactSet

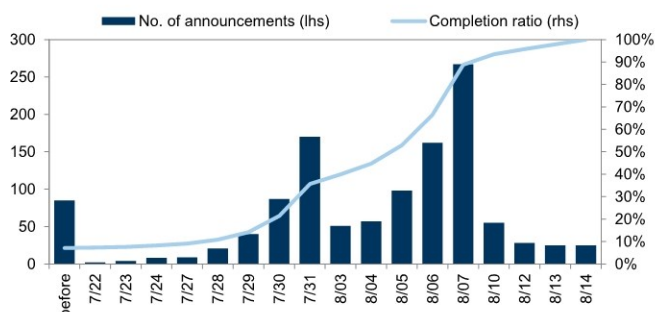
Earnings calendar

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On a market cap basis, 46% of companies are expected to have announced earnings by July 31 (Friday), 95% by August 7 (Friday), and all companies by August 14 (Friday).

Exhibit 11: TOPIX company announcement schedule (number of companies)

TOPIX companies with Feb/Mar fiscal year-end



Source: QUICK, Bloomberg

Exhibit 12: TOPIX company announcement schedule (market cap, ¥ tn)

TOPIX companies with Feb/Mar fiscal year-end



Source: QUICK, Bloomberg

Exhibit 13: TOPIX company announcement schedule (sector market cap)

TOPIX companies with Feb/Mar fiscal year-end

		Percent of Weight Reporting			
	Total Mkt-cap	- Jul 24	Jul 27 - Jul 31	Aug 3 - Aug 7	Aug 10 - Aug 14
TOPIX		5%	41%	50%	5%
Energy	1%	0%	3%	96%	1%
Materials	6%	24%	22%	49%	5%
Industrials	25%	1%	35%	61%	3%
Consumer Discretionary	13%	4%	40%	52%	4%
Consumer Staples	3%	37%	12%	45%	7%
Health Care	4%	0%	54%	44%	2%
Financials	19%	0%	37%	49%	14%
Information Technology	19%	5%	78%	15%	2%
Communication Services	9%	1%	6%	90%	2%
Utilities	1%	0%	99%	1%	0%
Real Estate	2%	1%	12%	87%	0%

Source: QUICK, Bloomberg

Disclosure Appendix

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